Outlook

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Follow-up: APR, affordability and later outcomes

Hi all,

I may be joining dots that do not belong together, so please challenge the premise.

Pricing wants to know whether loan spreads vary coherently with risk, affordability, collateral and later repayment outcomes. Failure anecdotes are beginning to drive decisions, although retries and late posting may be making the problem look larger than the affected-customer population.

Could the answer be that later distress is concentrated in affordability edges rather than price? Or are we actually seeing that channel or product creates unexplained pricing differences? I also do not want us to miss the possibility that higher spreads align with higher expected risk.

This has returned because the previous answer was useful but not strong enough to become a standing rule. Use March 2022 as the new evidence point rather than recycling the earlier conclusion. The practical decision is which pricing rules need review and which differences require conduct testing. Please send a control view with the exceptions, owner and reason each item was included; I need the exceptions and counter-examples, not only an average.

Work from the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; collections cases, promises to pay and recovery payments; transaction-level timestamps, channels, amounts, statuses and error context; monthly customer and KYC snapshots. This is an internal consistency and outcome review, not proof that a price is legally fair or actuarially optimal.

Regards